

## 3.2.2 How the macroeconomy works: the circular flow of income, aggregate demand/aggregate supply analysis, and related concepts

### 3.2.2.1 The circular flow of income

| Content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | Additional information                                                                                         |
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| <ul style="list-style-type: none"><li>• What national income measures.</li><li>• The difference between nominal and real income.</li><li>• Real national income as an indicator of economic performance.</li><li>• The circular flow of income concept, the equation <math>\text{income} = \text{output} = \text{expenditure}</math>, and the concepts of equilibrium and full employment income.</li><li>• The difference between injections and withdrawals into the circular flow of income.</li><li>• The effect of changes in injections and withdrawals on national income.</li></ul> | Students are <b>not</b> expected to have a detailed knowledge of the construction of national income accounts. |

### 3.2.2.2 Aggregate demand and aggregate supply analysis

| Content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | Additional information                                                                                                                                                                                                                                                                                                                                                                 |
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| <ul style="list-style-type: none"><li>• Changes in the price level are represented by movements along the aggregate demand (AD) and aggregate supply (AS) curves.</li><li>• The various factors that shift the AD curve and the short-run AS curve.</li><li>• The factors which affect long-run AS distinguish them from those which affect short-run AS.</li><li>• Underlying economic growth is represented by a rightward shift in the long-run AS curve.</li><li>• How to use AD/AS diagrams to illustrate macroeconomic equilibrium.</li><li>• How both demand-side and supply-side shocks affect the macroeconomy.</li></ul> | <p>Students should be able to use AD and AS analysis to help them explain macroeconomic problems and issues. For example, they should be able to use AD and AS diagrams to illustrate changes in the price level, demand-deficient (cyclical) unemployment and economic growth.</p> <p>Students should also understand how global economic events can affect the domestic economy.</p> |

### 3.2.2.3 The determinants of aggregate demand

| Content                                                                                                                                                                                                                                                                                                                                    | Additional information                                                                                                                                                                                                                          |
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| <ul style="list-style-type: none"><li>• What is meant by AD.</li><li>• The determinants of AD, ie the determinants of consumption, investment, government spending, exports and imports.</li><li>• The basic accelerator process.</li><li>• The determinants of savings.</li><li>• The difference between saving and investment.</li></ul> | <p>Students will <b>not</b> be required to undertake calculations to illustrate the operation of the accelerator.</p> <p>Students should understand how changes in net exports affect AD and how global events affect economic performance.</p> |

### 3.2.2.4 Aggregate demand and the level of economic activity

| Content                                                                                                                                                                                                                                                              | Additional information                                                                                                                                                                                                                                                                                                 |
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| <ul style="list-style-type: none"><li>• The role of AD in influencing the level of economic activity.</li><li>• The multiplier process and an explanation of why an initial change in expenditure may lead to a larger impact on local or national income.</li></ul> | <p>Students will <b>not</b> be required to calculate the value of the multiplier using the marginal propensity to consume or the propensities to withdraw. However, they should be able to calculate the value of the multiplier from an initial change in injections and the resulting change in national income.</p> |

### 3.2.2.5 Determinants of short-run aggregate supply

| Content                                                                                                                                                                                                                                                                                  | Additional information |
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| <ul style="list-style-type: none"><li>• The price level and production costs are the main determinants of the short-run AS.</li><li>• Changes in costs, such as: money wage rates, raw material prices, business taxation and productivity, will shift the short-run AS curve.</li></ul> |                        |

### 3.2.2.6 Determinants of long-run aggregate supply

| Content                                                                                                                                                                                                                                                                                                                  | Additional information                                       |
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| <ul style="list-style-type: none"><li>• The fundamental determinants of long-run AS such as technology, productivity, attitudes, enterprise, factor mobility, and economic incentives.</li><li>• The position of the vertical long-run AS curve represents the normal capacity level of output of the economy.</li></ul> | <p>It is assumed that the long-run AS curve is vertical.</p> |